

APPENDIX: VOCABULARY TABLE & QUICK REFERENCE

Terminology	Explanation
VIX	CBOE Volatility Index — measures expectations for the S&P 500's 30-day volatility
IV Percentile	Current level IV compared to 1-year history, in percentile
Delta	The coefficient measures the change in the option price when the stock rises/falls by \$1
POP	Probability of Profit — the probability of a profitable position at expiration
DTE	Days To Expiration — the number of days remaining until the option expires
Theta	Time decay — every day that passes, how much value the option loses
RRG	Relative Rotation Graph — a graph of relative rotation between industries
Anonymous	Historical Volatility — Past Actual Volatility
IV Crush	IV drops suddenly after a major event (earnings) — causing losses for long options
Support / Resistance	An important price zone on the chart where the price usually bounces off or is blocked
Short Put	Put option — a premium, the obligation to buy shares if the price falls
Iron Condor	4 legs options strategy, make money when stocks are less volatile
Cash Secured Put	Selling puts with enough cash to buy stocks — how to 'buy stocks cheaper'
Covered Call	Sell calls while holding stocks — increase portfolio income